Flattening hierarchies

The trend in management over the past few decades has been to eliminate layers from company hierarchies, which means they are becoming flatter—in other words, there are not as many levels to go through in order to reach the top.

One example is the role of chief operating officer (COO), which has been disappearing in recent years. Between 2000 and 2012, there was a 10 percent decline in the number of Fortune 500 (an annual list of the top US corporations compiled by *Fortune* magazine) companies with COOs. Only 38 percent of the 500 have a COO position now. CEOs have also eliminated layers of middle management, and in the US there was a 300 percent increase between 1986 and 2003 in the number of division heads reporting directly to the CEO.

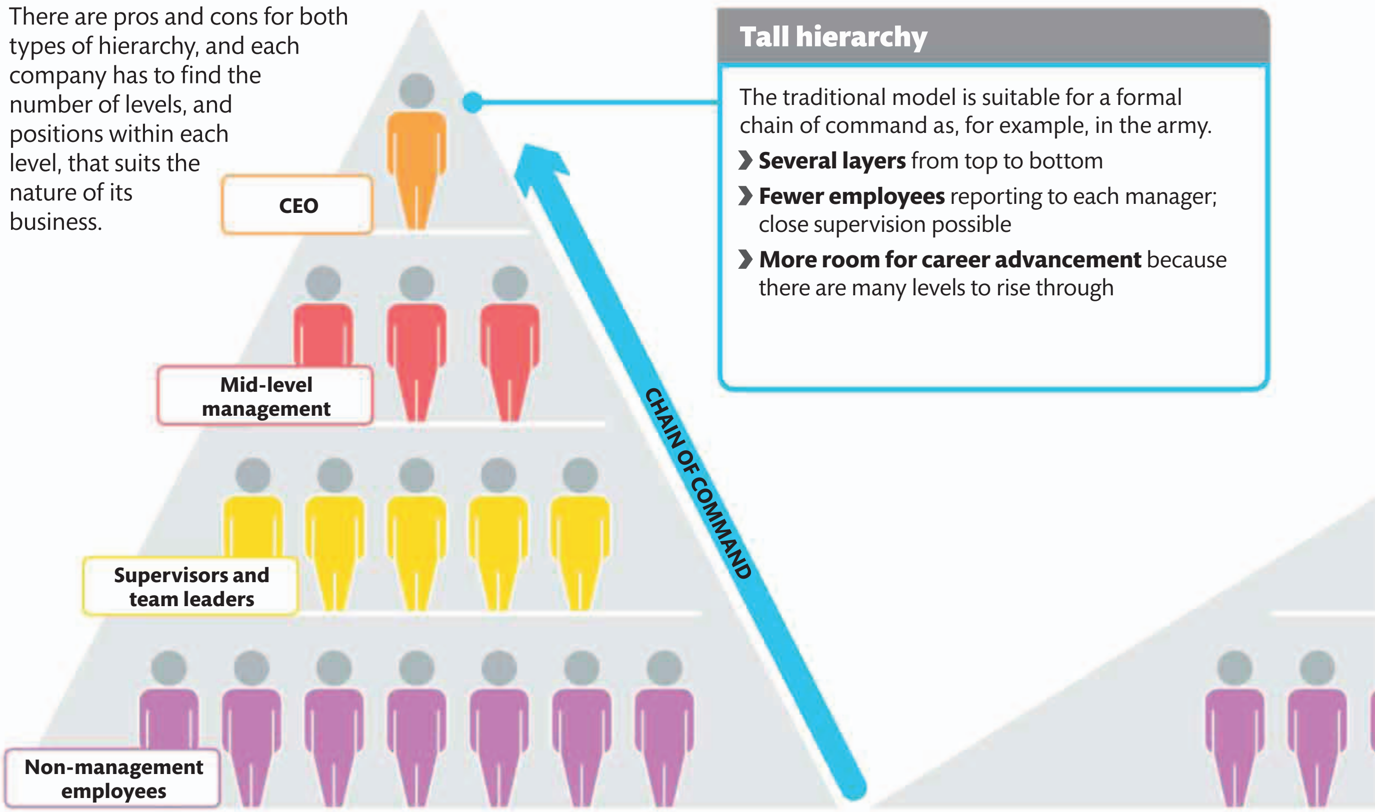
Sometimes companies decide restructure the other way round instead—from flat to tall—by eliminating a number of senior management posts and replacing them with a greater number of junior supervisory roles.

NEED TO KNOW

- **Span of control** Number of employees reporting to a manager or other senior level; the greater the span of control, the more workers reporting to an individual above
- **Line position** Job role with responsibility for achieving the goals of the organization
- **Staff position** Job role providing expertise to assist someone in a line position

Tall vs. flat hierarchies

There are pros and cons for both types of hierarchy, and each company has to find the number of levels, and positions within each level, that suits the nature of its business.



Tall hierarchy

The traditional model is suitable for a formal chain of command as, for example, in the army.

- **Several layers** from top to bottom
- **Fewer employees** reporting to each manager; close supervision possible
- **More room for career advancement** because there are many levels to rise through